Type MS · Reading a production possibility curve and economic growth

Answer 1 of 14 · Question 1 part i · 6 marks

2023 JAN · Paper 01 (regional R) · extract 1 of 5 · find part i in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **A** Land B is not correct because labour is a human resource C is not correct because capital is a man-made resource D is not correct because enterprise is the element of risk	**(1)**

Question number	A firm has total costs of $700. It sells 300 items at a price of $20 each. What is the profit for the firm? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **A** $5 300 B is not correct because this is 300 x $20 C is not correct because this is ($700 x $20) - 300 D is not correct because this is $700 x $20	**(1)**

Question number	What is meant by the term supply? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award 1 mark for reference to amount producers are willing and able to sell and 1 mark for reference to price The quantity of goods or services producers are willing and able to sell **(1)** at a given price/at a given time **(1)** Accept any other appropriate response	**(2)**

Type MS · Reading a production possibility curve and economic growth

Answer 1 of 14 · Question 1 part i · 6 marks

2023 JAN · Paper 01 (regional R) · extract 2 of 5 · find part i in this mark scheme extract

Question number	State one type of an external economy of scale. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct type • Skilled labour/infrastructure/access to suppliers/similar businesses in area Accept any other appropriate response	**(1)**

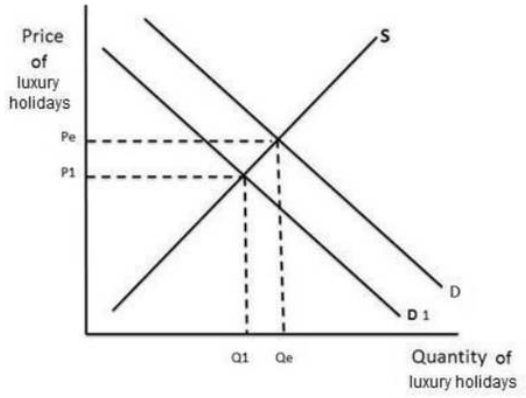
Question number	Define the term unique product. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A good/service for which there is no substitute Accept any other appropriate response	**(1)**

Question number	Calculate the price elasticity of supply (PES) for Connor's hair salon. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 2.6%/2% **(1)** Award 1 mark for correct PED = 1.3 **(1)** Award 2 marks if PES is correctly calculated as 1.3, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Reading a production possibility curve and economic growth

Answer 1 of 14 · Question 1 part i · 6 marks

2023 JAN · Paper 01 (regional R) · extract 3 of 5 · find part i in this mark scheme extract

Question number	Using the diagram below, draw the likely effect on the market for luxury holidays after a fall in income. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of demand, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	(3)

Question number	Explain one possible disadvantage of privatisation for workers in the telecoms industry in Angola. **Answer**	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a disadvantage Award 1 mark for developing the response Award 1 mark for the response being in context • Workers may be made redundant as a result of privatisation **(1)** because private firms are likely to want the telecoms industry to reduce costs **(1)** in order to increase efficiency **(1)** Accept any other appropriate response	(3)

Type MS · Reading a production possibility curve and economic growth

Answer 1 of 14 · Question 1 part i · 6 marks

2023 JAN · Paper 01 (regional R) · extract 4 of 5 · find part i in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse the impact on the economy after a movement from A to B on the production possibility curve (PPC). **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A PPC shows the combination of goods that can be produced with all available resources • The maximum productive potential of the economy can be seen at point A on the PPC, where if 350 million units of capital goods are produced, 160 million units of consumer goods can be produced • If the number of capital goods produced increases to 450 million units it is not possible to continue to produce 160 million units of consumer goods • The number of consumer goods produced must fall by 30 million units, to 130 million units. This is shown at point B. (There is an opportunity cost) • As the number of capital goods produced increases, there will be an increase in the productive capacity of the economy • Because the economy can now produce more, the PPC will shift outwards allowing an increase in the number of capital goods and consumer goods to be produced in the future • An outward shift of the PPC indicates positive economic growth of the economy

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Reading a production possibility curve and economic growth

Answer 1 of 14 · Question 1 part i · 6 marks

2023 JAN · Paper 01 (regional R) · extract 5 of 5 · find part i in this mark scheme extract

Question number	Which one of the following options best describes the demand for the product? **Answer**	**Mark**

Type MS · Reading a production possibility curve and economic growth

Answer 2 of 14 · Question 3 part a · 1 mark

2019 JUN · Paper 01 (regional R) · extract 1 of 6 · find part a in this mark scheme extract

3(a)	**AO1 1 mark** **D** Increasing technological advancements	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** **D** Education	**(1)**

Type MS · Reading a production possibility curve and economic growth

Answer 2 of 14 · Question 3 part a · 1 mark

2019 JUN · Paper 01 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

Question number	Answer	Mark
3(c)	**AO2 2 marks** Award 1 mark for showing correct calculation. 0.85 x 95,000 **(1)** Award 1 mark for correct total revenue (TR). = $80 750 **(1)** Award 2 marks if TR is correctly calculated, even if no calculations are shown Do not award marks for the formula	**(2)**
Question number	**Answer**	**Mark**
3(d)	**AO1 1 mark** Inelastic **(1)** OFR applies e.g. if answer to 3(c) is less than $75 000, award 1 mark for elastic	**(1)**

Type MS · Reading a production possibility curve and economic growth

Answer 2 of 14 · Question 3 part a · 1 mark

2019 JUN · Paper 01 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The PPF shows the combinations of goods which can be produced with all available resources • An increase in the ability to produce both capital and consumer goods is shown in figure 3 due to the outward shift of the PPF • Economic growth would allow this to happen as there is likely to be an increase in economic resources and improvements in technology over time • With the increase in resources and efficiency, it would be possible to increase production of both capital and consumer goods without the sacrifice of the other

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Reading a production possibility curve and economic growth

Answer 2 of 14 · Question 3 part a · 1 mark

2019 JUN · Paper 01 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Question number	Indicative content
3(f)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Trade unions can help raise wages and improve working conditions for workers by putting pressure on employers during negotiations • SAFTU has nearly 700,000 members and is the 2nd largest federation in South Africa meaning it could have a lot of influence on employers • SAFTU is a new trade union group and so may have new ideas with which to push for workers' rights • The higher wages may reduce the quantity of labour that firms can afford to employ, thus meaning fewer workers are employed in the industry but those remaining receive higher wages • The use of a quantity/wage of labour diagram **AO4** • However, the influence of trade unions has been decreasing all over the world • The effectiveness of the trade unions may depend on whether their power and influence is restricted by legislation • When wage rates increase, if productivity also rises, firms may not have to reduce the number of workers they employ due to higher labour costs • There isn't enough information in the data to know whether 700,000 is a large proportion of the workforce and therefore how influential they might be • How effective trade unions are in influencing the price and quantity of labour may depend on whether firms can pass on increased costs through increased prices or reduced profit margins

Type MS · Reading a production possibility curve and economic growth

Answer 2 of 14 · Question 3 part a · 1 mark

2019 JUN · Paper 01 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Reading a production possibility curve and economic growth

Answer 2 of 14 · Question 3 part a · 1 mark

2019 JUN · Paper 01 (regional R) · extract 6 of 6 · find part a in this mark scheme extract

Question number	Answer	Mark

Type MS · Reading a production possibility curve and economic growth

Answer 3 of 14 · Question 3 part e · 6 marks

2019 JUN · Paper 01 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

3(a)	**AO1 1 mark** **D** Increasing technological advancements	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** **D** Education	**(1)**

Type MS · Reading a production possibility curve and economic growth

Answer 3 of 14 · Question 3 part e · 6 marks

2019 JUN · Paper 01 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

Question number	Answer	Mark
3(c)	**AO2 2 marks** Award 1 mark for showing correct calculation. 0.85 x 95,000 **(1)** Award 1 mark for correct total revenue (TR). = $80 750 **(1)** Award 2 marks if TR is correctly calculated, even if no calculations are shown Do not award marks for the formula	**(2)**
Question number	**Answer**	**Mark**
3(d)	**AO1 1 mark** Inelastic **(1)** OFR applies e.g. if answer to 3(c) is less than $75 000, award 1 mark for elastic	**(1)**

Type MS · Reading a production possibility curve and economic growth

Answer 3 of 14 · Question 3 part e · 6 marks

2019 JUN · Paper 01 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The PPF shows the combinations of goods which can be produced with all available resources • An increase in the ability to produce both capital and consumer goods is shown in figure 3 due to the outward shift of the PPF • Economic growth would allow this to happen as there is likely to be an increase in economic resources and improvements in technology over time • With the increase in resources and efficiency, it would be possible to increase production of both capital and consumer goods without the sacrifice of the other

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Reading a production possibility curve and economic growth

Answer 3 of 14 · Question 3 part e · 6 marks

2019 JUN · Paper 01 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Question number	Indicative content
3(f)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Trade unions can help raise wages and improve working conditions for workers by putting pressure on employers during negotiations • SAFTU has nearly 700,000 members and is the 2nd largest federation in South Africa meaning it could have a lot of influence on employers • SAFTU is a new trade union group and so may have new ideas with which to push for workers' rights • The higher wages may reduce the quantity of labour that firms can afford to employ, thus meaning fewer workers are employed in the industry but those remaining receive higher wages • The use of a quantity/wage of labour diagram **AO4** • However, the influence of trade unions has been decreasing all over the world • The effectiveness of the trade unions may depend on whether their power and influence is restricted by legislation • When wage rates increase, if productivity also rises, firms may not have to reduce the number of workers they employ due to higher labour costs • There isn't enough information in the data to know whether 700,000 is a large proportion of the workforce and therefore how influential they might be • How effective trade unions are in influencing the price and quantity of labour may depend on whether firms can pass on increased costs through increased prices or reduced profit margins

Type MS · Reading a production possibility curve and economic growth

Answer 3 of 14 · Question 3 part e · 6 marks

2019 JUN · Paper 01 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Reading a production possibility curve and economic growth

Answer 3 of 14 · Question 3 part e · 6 marks

2019 JUN · Paper 01 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Question number	Answer	Mark

Type MS · Reading a production possibility curve and economic growth

Answer 4 of 14 · Question 2 part b · 1 mark

2019 JUN · Paper 01 · extract 1 of 5 · find part b in this mark scheme extract

2(a)	**AO1 1 mark** **B** What to produce	 **(1)**

Question number	Answer	Mark
2(b)	**AO2 1 mark** **C** Y	 **(1)**

Question number	Answer	Mark
2(c)	**AO2 2 marks** Award 1 mark for showing correct calculation. -12 ÷ 15 **(1)** Award 1 mark for correct price elasticity of demand (PED). = -0.8 **(1)** Award 1 mark if students show calculation and put 0.8 without the minus sign Award 2 marks if PED is correctly calculated, even if no calculations are shown Do not award marks for the formula	 **(2)**

Question number	Answer	Mark
2(d)	**AO1 1 mark** Award 1 mark for reference to an invention or new idea An idea which leads to a new product/process	 **(1)**

Type MS · Reading a production possibility curve and economic growth

Answer 4 of 14 · Question 2 part b · 1 mark

2019 JUN · Paper 01 · extract 2 of 5 · find part b in this mark scheme extract

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for one correct factor: • a decrease in advertising • a decrease in income • an adverse change in taste and fashion • a decrease in price of substitute goods • an increase in price of complementary goods • a decrease in population Accept any other appropriate response	**(1)**

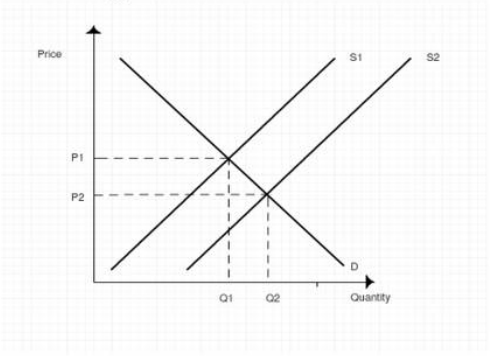
Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the advantage and 1 mark for development of the advantage • The large number of vehicles competing means there is a lot of choice **(1)** therefore it is easier for passengers to hire an auto rickshaw **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason for the difference in price Award 1 mark for developing the reason Award 1 mark for the response being in the context of transport in Dhaka • One reason is that there are likely to be fewer vehicles competing outside the city centre **(1)** because most of the 17 million people live in the city centre **(1)** and so there is less potential business for the drivers **(1)** Accept any other appropriate response	**(3)**

Type MS · Reading a production possibility curve and economic growth

Answer 4 of 14 · Question 2 part b · 1 mark

2019 JUN · Paper 01 · extract 3 of 5 · find part b in this mark scheme extract

uestion number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Without the changes in technology, more parking spaces are demanded than supplied and demand is increasing • The introduction of Automated Parking Systems (APS) increases the supply of spaces and so should shift the supply curve to the right • Changes in technology allow the gap between demand and supply to be reduced. • The change in supply will also affect the equilibrium price, making parking cheaper and more available • Thus reducing the shortage of car parking spaces • Possible use of diagram  **AO4** • The increase in the number of vehicles may be faster than the increase in the supply of car parking spaces meaning there is still a shortage • There is already such a large excess in demand that the introduction of APS will not make much difference • It is likely to take time from the initial decision to having the APS in place, meaning the supply curve may not shift straight away • Some motorists do not like change or worry the technology will fail and may be averse to the idea of automated parking, therefore not use the APS

Type MS · Reading a production possibility curve and economic growth

Answer 4 of 14 · Question 2 part b · 1 mark

2019 JUN · Paper 01 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Reading a production possibility curve and economic growth

Answer 4 of 14 · Question 2 part b · 1 mark

2019 JUN · Paper 01 · extract 5 of 5 · find part b in this mark scheme extract

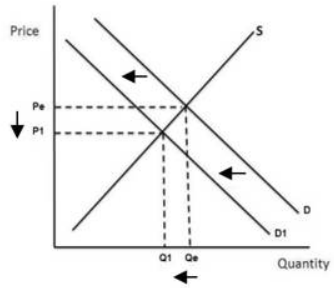
Question number	Answer	Mark

Type MS · Reading a production possibility curve and economic growth

Answer 5 of 14 · Question 1 part d · 1 mark

2020 NOV · Paper 01 (regional R) · extract 1 of 5 · find part d in this mark scheme extract

1(a)	**AO1 1 mark** **B** Secondary	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** **C** 	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to multiplying the price of each unit and 1 mark for reference to the number of units sold The amount of money a firm receives **(1)** from selling its output **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct cause Better technology/increased efficiency Accept any other appropriate response	**(1)**

Type MS · Reading a production possibility curve and economic growth

Answer 5 of 14 · Question 1 part d · 1 mark

2020 NOV · Paper 01 (regional R) · extract 2 of 5 · find part d in this mark scheme extract

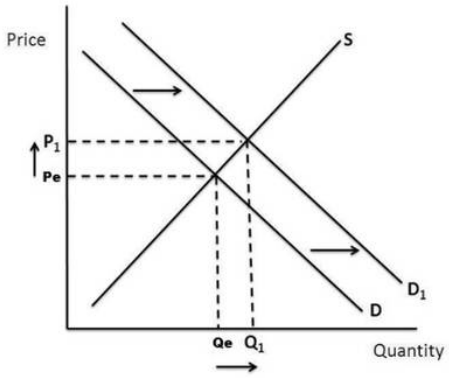
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A benefit to a third party Accept any other appropriate response	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 6,000 - (1,200 + 1,450 + 1,625) **(1)** Award 1 mark for correct excess supply = 1,725 tour guides **(1)** Award 2 marks if excess supply is correctly calculated, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Reading a production possibility curve and economic growth

Answer 5 of 14 · Question 1 part d · 1 mark

2020 NOV · Paper 01 (regional R) · extract 3 of 5 · find part d in this mark scheme extract

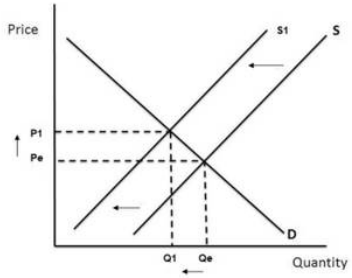
Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage of the takeover may be improved quality **(1)** because Connect Airways may make higher profits **(1)** so it may be able to finance more comfortable airline seats for its passengers **(1)** • One advantage may be economies of scale from the link with Virgin **(1)** because the new airline can buy fuel in bulk at a lower cost **(1)** passengers may then benefit from decreased prices **(1)** Accept any other appropriate response	**(3)**

Type MS · Reading a production possibility curve and economic growth

Answer 5 of 14 · Question 1 part d · 1 mark

2020 NOV · Paper 01 (regional R) · extract 4 of 5 · find part d in this mark scheme extract

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The supply curve shows how much of a good that producers are willing and able to supply at different prices over time • Natural factors such as adverse weather could shift the supply curve inwards/to the left • Possible use of a diagram:  • Adverse weather such as a typhoon can reduce supply because it can make it more difficult (destroying property, equipment washed away) to supply and more expensive (costing one restaurant owner between HK$300 000 and HK$400 000) • If it is more difficult and/or more expensive to supply (the quantity supplied is likely to shift from Qe to Q1 on the diagram) • This will therefore result in an increase in the price (from Pe to P1) if demand stays the same

Type MS · Reading a production possibility curve and economic growth

Answer 5 of 14 · Question 1 part d · 1 mark

2020 NOV · Paper 01 (regional R) · extract 5 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Question number	Answer	Mark

Type MS · Reading a production possibility curve and economic growth

Answer 6 of 14 · Question 1 part a · 1 mark

2021 JUN · Paper 01 · extract 1 of 5 · find part a in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** A given amount of resources being fully employed A is not correct because this cannot be determined on a PPC B is not correct because a PPC cannot show *how* production can increase C is not correct because a PPC does not show government revenue	**(1)**

Question Number	Which **one** of the following describes this economic assumption? Answer	Mark
1(b)	**AO2 1 mark** The only correct answer is: **A** Businesses aim to maximise their profit B is not correct because there is no indication of any charitable work taking place C is not correct because consumer behaviour is not described D is not correct because it is not linked to government actions	**(1)**

Question Number	What is meant by the term economies of scale? Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to reduced average cost and 1 mark for reference to increased output Average costs of production fall **(1)** as the level of output rises **(1)** Accept any other appropriate response	**(2)**

Type MS · Reading a production possibility curve and economic growth

Answer 6 of 14 · Question 1 part a · 1 mark

2021 JUN · Paper 01 · extract 2 of 5 · find part a in this mark scheme extract

Question Number	State **one** example of a factor of production that can be classified as land. Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct example • Forest • Rainwater • Coal • Oil Accept any other appropriate response	**(1)**

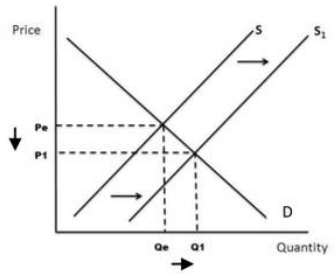
Question Number	Define the term monopoly. Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition One dominant seller in a market Accept any other appropriate response	**(1)**

Question Number	Calculate, to two decimal places, the **price elasticity of demand (PED)** for Alfie's dog-walking service. You are advised to show your working. Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation -1.1/1.5 **(1)** Award 1 mark for correct PED = -0.73 **(1)** Award 2 marks if PED is correctly calculated as -0.73, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Reading a production possibility curve and economic growth

Answer 6 of 14 · Question 1 part a · 1 mark

2021 JUN · Paper 01 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Using the diagram below, draw the likely effects on the market for cars of the introduction of more effective technology in production. Label the new curve, the new equilibrium price and the new equilibrium quantity. Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question Number	Explain **one** possible effect on the supply of labour of the school-leaving age being raised. Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying an effect Award 1 mark for developing the response Award 1 mark for the response being in context • One effect would be a decrease in the supply of labour **(1)** because young people would not be able to be employed full-time until they reached the school-leaving age **(1)** which means only people over 18 in England could contribute to the supply of labour **(1)** Accept any other appropriate response	**(3)**

Type MS · Reading a production possibility curve and economic growth

Answer 6 of 14 · Question 1 part a · 1 mark

2021 JUN · Paper 01 · extract 4 of 5 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse why Bupa may have decided to operate in a wider range of markets. Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • There are several factors that can affect the growth of firms. One of these is the desire to spread risks • By expanding its product range, Bupa can reduce the risk because it is trading in different markets • This means that if there is a problem in one market (such as health insurance) it has other areas in which it can continue to trade • Therefore the range of services, such as hospital and dental treatment, could help to finance the firm and allow it to continue to be successful, if there are problems in other markets • As Bupa operates in 190 countries, it is likely to encounter uncertainty in the different markets and therefore having a range of services means it is reducing the overall risk to the firm

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Reading a production possibility curve and economic growth

Answer 6 of 14 · Question 1 part a · 1 mark

2021 JUN · Paper 01 · extract 5 of 5 · find part a in this mark scheme extract

Question Number	Which **one** of the following products has a price inelastic demand? Answer	Mark

Type MS · Reading a production possibility curve and economic growth

Answer 7 of 14 · Question 2 part a · 1 mark

2021 NOV · Paper 01 · extract 1 of 6 · find part a in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **B** X A is not correct because there will be no unemployed resources C is not correct because it is not achievable D is not correct because all resources will be fully employed	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: **C** employee rights A is not correct because consumers are not members of the union B is not correct because this is not the responsibility of a trade union D is not correct because trade unions are independent of the government	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for a correct reason • Size of market • Nature of market (niche) • Lack of finance • Aims of the entrepreneur Accept any other appropriate response	**(1)**

Type MS · Reading a production possibility curve and economic growth

Answer 7 of 14 · Question 2 part a · 1 mark

2021 NOV · Paper 01 · extract 2 of 6 · find part a in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation 2.7/4.9 **(1)** Award 1 mark for correct PES = 0.55 **(1)** Award 2 marks if PES is correctly calculated as 0.55, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for reference to a firm setting the market price A dominant firm sets the price in the market Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason A computer can be used to help make goods and services **(1)** therefore a computer is capital **(1)** Accept any other appropriate response	**(2)**

Type MS · Reading a production possibility curve and economic growth

Answer 7 of 14 · Question 2 part a · 1 mark

2021 NOV · Paper 01 · extract 3 of 6 · find part a in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant factor Award 1 mark for developing the response Award 1 mark for the response being in context • Access to finance. **(1)** Abi would need to obtain more money to be able to move to larger premises. **(1)** She may not have enough/be able to borrow enough finance to fund the expansion **(1)** Accept any other appropriate response	**(3)**

Type MS · Reading a production possibility curve and economic growth

Answer 7 of 14 · Question 2 part a · 1 mark

2021 NOV · Paper 01 · extract 4 of 6 · find part a in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Negative externalities are spillover effects on third parties due to consumption/production • Pollution is an example of a negative externality because it is created by high volumes of traffic and has an external cost to people in Jakarta • One method of government intervention to reduce negative externalities is the use of regulation • These regulations will limit the amount of pollution produced and reduce the externalities • The Indonesian Government introduced the traffic-free regulation in an attempt to reduce pollution levels in Jakarta because less traffic should lead to less fumes being emitted into the environment • The regulation covers over 8 km of Jakarta's streets on a Sunday, meaning a section of the city is not subjected to the negative externality of traffic fumes during this time • In 2016 air-quality had improved by 65% since the regulations were introduced, meaning the regulations have been quite effective in reducing the negative externality **AO4** • However, there is no guarantee that the reduced pollution level is a direct result of the traffic-free regulation • Other measures may be in place such as the taxation on fuel • The effectiveness of the regulations depends on the level of enforcement from the government and cooperation from the public • The number of vehicles registered in the area is increasing, meaning that pollution is also likely to increase again • There are likely to be other factors causing pollution in the city, such as from factories

Type MS · Reading a production possibility curve and economic growth

Answer 7 of 14 · Question 2 part a · 1 mark

2021 NOV · Paper 01 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Reading a production possibility curve and economic growth

Answer 7 of 14 · Question 2 part a · 1 mark

2021 NOV · Paper 01 · extract 6 of 6 · find part a in this mark scheme extract

Question number	Answer	Mark

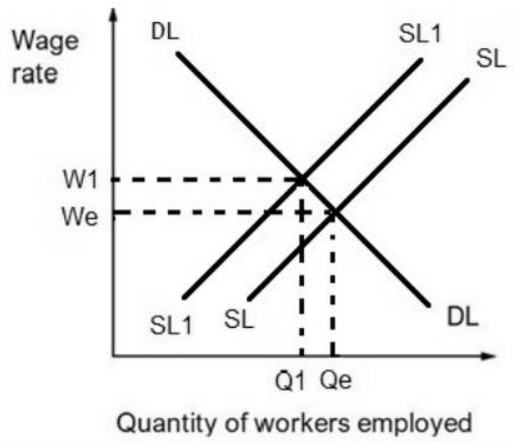
Type MS · Reading a production possibility curve and economic growth

Answer 8 of 14 · Question 3 part d · 6 marks

2022 JUN · Paper 01 · extract 1 of 5 · find part d in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **D** Privatisation A is not correct because this is the creation of new land from drained wetlands B is not correct because this is the creation of a new product from an idea C is not correct because this is where an enterprise previously part of the private sector is taken into state ownership	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** The only correct answer is: **B** Farmer A is not correct because it is a service C is not correct because it is not production involving extraction of raw materials from the earth D is not correct because it in the tertiary sector	**(1)**

Question number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for leftward shift of labour supply, labelled Award 1 mark for higher equilibrium wage rate, labelled Award 1 mark for lower equilibrium quantity of workers employed, labelled  	**(3)**

Type MS · Reading a production possibility curve and economic growth

Answer 8 of 14 · Question 3 part d · 6 marks

2022 JUN · Paper 01 · extract 2 of 5 · find part d in this mark scheme extract

Question number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The PPF shows the combinations of goods which can be produced with all available resources • An increase in the ability to produce both capital and consumer goods is shown due to the outward shift of the PPF • Economic growth would allow this to happen as there is likely to be an increase in economic resources and improvements in technology over time • With the increase in resources and efficiency, it would be possible to increase production of both capital and consumer goods without the sacrifice of the other • This means that more agricultural goods and copper could be produced and more construction could take place, without the need to shift resources to alternative production

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Reading a production possibility curve and economic growth

Answer 8 of 14 · Question 3 part d · 6 marks

2022 JUN · Paper 01 · extract 3 of 5 · find part d in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • External costs are negative spillover effects of consumption or production • Brick production creates an external cost because it affects third parties in a negative way • This is because it emits smoke and dust into the air which is then breathed in by people in Bangladesh • Demand for bricks is increasing, causing an increase in air pollution • The health of children and the elderly can be affected by this pollution but they are not involved in the production of bricks • Government may have to increase spending on health provision • Brick production contributes considerably to Bangladesh's severe air pollution problem, creating an external cost **AO4** • However, many people in Bangladesh will be customers of the construction industry and the bricks produced • Therefore, these people are not necessarily third parties and so costs of producing bricks may not be external costs (they create private benefits too) • It is sometimes difficult to quantify the external costs and so impossible to know whether the elderly or those with a heart condition have been negatively affected by the costs of producing bricks • Over one million people are employed in the brick production industry in Bangladesh • Therefore, it could be argued the extent to which the costs of producing bricks in Bangladesh are external, is limited

Type MS · Reading a production possibility curve and economic growth

Answer 8 of 14 · Question 3 part d · 6 marks

2022 JUN · Paper 01 · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Reading a production possibility curve and economic growth

Answer 8 of 14 · Question 3 part d · 6 marks

2022 JUN · Paper 01 · extract 5 of 5 · find part d in this mark scheme extract

Question number	Answer	Mark

Type MS · Reading a production possibility curve and economic growth

Answer 9 of 14 · Question 3 part d · 6 marks

2023 JUN · Paper 01 (regional R) · extract 1 of 6 · find part d in this mark scheme extract

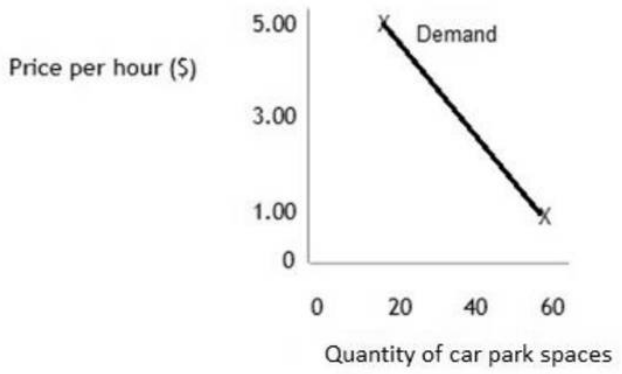
3(a)	**AO1 1 mark** The only correct answer is: **D** government intervention A is not correct because a minimum wage is not a resource used to produce goods and services B is not correct because these are things expected to be true although there is no definite proof C is not correct because a minimum wage does not have reduced average costs due to expansion	**(1)**

Question number	Which **one** of the following is likely to lead to an increase in the productivity of capital? **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **C** An increase in technological advances A is not correct because this would lead to a decrease in productivity B is not correct because this may hinder use of capital D is not correct because this is not related to productivity	**(1)**

Type MS · Reading a production possibility curve and economic growth

Answer 9 of 14 · Question 3 part d · 6 marks

2023 JUN · Paper 01 (regional R) · extract 2 of 6 · find part d in this mark scheme extract

Question number	Using the information in Figure 3, draw and label the demand curve for car park spaces on the diagram below. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for a downward sloping demand curve, labelled Award 1 mark for plotting $5.00 at a quantity of 20 on the demand curve Award 1 mark for plotting $1.00 at a quantity of 60 on the demand curve  	**(3)**

Type MS · Reading a production possibility curve and economic growth

Answer 9 of 14 · Question 3 part d · 6 marks

2023 JUN · Paper 01 (regional R) · extract 3 of 6 · find part d in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse why the economy might have moved from PPF_1 to PPF_2. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The PPF shows the combinations of goods which can be produced with all available resources • A decrease in the ability to produce both capital and consumer goods is shown in Figure 4 due to the inward shift of the PPF • Negative economic growth would allow this to happen as it is possible there will have been a depletion of resources over time/a scarcity of resources (where an economy runs out of oil or coal) • It could also occur if skilled workers are attracted to opportunities in other countries • With the decrease in resources and/or emigration of skilled labour, it would be possible for production of both capital and consumer goods to decrease without an increase in the other

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Reading a production possibility curve and economic growth

Answer 9 of 14 · Question 3 part d · 6 marks

2023 JUN · Paper 01 (regional R) · extract 4 of 6 · find part d in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess whether WarnerMedia merging with Discovery is likely to benefit from economies of scale. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Economies of scale are falling average costs (in the long-run) due to expansion • Diseconomies of scale are rising average costs (in the long-run) because a firm grows too large • The combined number of subscribers will be 59 million, meaning that the unit costs are reduced because costs are spread over a larger number of customers • By bringing together technology from both WarnerMedia and Discovery, broadcasting would be more efficient • This means that Warner Bros. Discovery would be making better use of resources, leading to lower (long-term) average costs (technical economies) • Managerial economies may be present as specialist managers of the numerous channels, such as CNN news channel, could oversee the whole network, rather than having separate people in charge of each one • (Long-run) average costs could also be reduced as Warner Bros. Discovery could be advertised as one, therefore spreading the marketing costs and allowing marketing economies to take place • As the company is so large, with a value of $150bn, financial economies are likely because it would be able to get access to money at lower interest rates than a smaller firm **AO4** • However, some employees may be unhappy as a result of the merger, meaning they may not work as efficiently and diseconomies of scale may occur • Some employees may even leave if they are not able to adapt to any changes brought about due to the merger. This is likely to increase (long-run) average costs if Warner Bros. Discovery needs to recruit new employees • Communication problems and a lack of control may be caused by having such a large firm trying to integrate resources. As the broadcaster relies on technology being used effectively, this may lead to diseconomies of scale • The media company may have already reached the most efficient output and the lowest point on the (long-run) average cost curve • It will take time for the technology to be successfully implemented and so economies of scale may not occur for several years

Type MS · Reading a production possibility curve and economic growth

Answer 9 of 14 · Question 3 part d · 6 marks

2023 JUN · Paper 01 (regional R) · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Reading a production possibility curve and economic growth

Answer 9 of 14 · Question 3 part d · 6 marks

2023 JUN · Paper 01 (regional R) · extract 6 of 6 · find part d in this mark scheme extract

Question number	Calculate the **excess supply** of meals if the quantity supplied during these three days totalled 261. You are advised to show your working. **Answer**	Mark

Type MS · Reading a production possibility curve and economic growth

Answer 10 of 14 · Question 1 part a · 1 mark

2023 JUN · Paper 01 · extract 1 of 5 · find part a in this mark scheme extract

1(a)	**AO2 1 mark** The only correct answer is: **B** Positive economic growth A is not correct because this would shift the PPF inwards C is not correct because it does not show long-run average costs increasing with a rise in output D is not correct because it does not show long-run average costs decreasing with a rise in output	**(1)**

Question number	A firm has total costs of $10 000 and sells each item at a price of $100. It sells 200 items. What is the **profit or loss** for the firm? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **B** $10 000 profit A is not correct because total costs have not been deducted C is not correct because a profit would be made and not a loss D is not correct because this is $10 000 - $20 000	**(1)**

Question number	What is meant by the term privatisation? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award 1 mark for reference to moving from the public sector and 1 mark for reference to transfer of ownership to the private sector The government sells/transfers an organisation (in the public sector) **(1)** to the private sector **(1)** Accept any other appropriate response	**(2)**

Type MS · Reading a production possibility curve and economic growth

Answer 10 of 14 · Question 1 part a · 1 mark

2023 JUN · Paper 01 · extract 2 of 5 · find part a in this mark scheme extract

Question number	State **one** reason why the government regulates competition in the economy. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct reason • To promote competition • To limit monopoly power • To protect consumer interests • To control mergers and takeovers Accept any other appropriate response	**(1)**

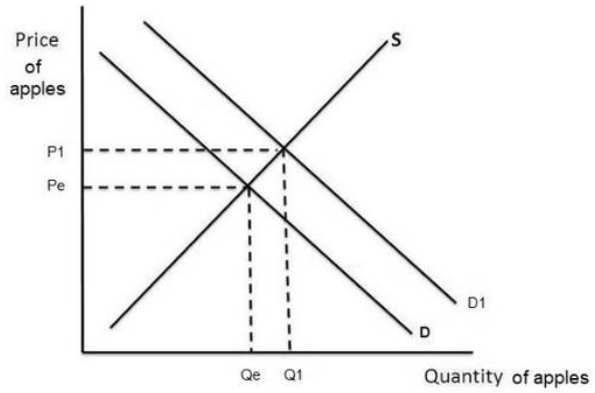
Question number	Define the term congestion. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A situation where a place is crowded Accept any other appropriate response	**(1)**

Question number	Calculate the **total variable costs** for the firm each month. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation €16 500 + €95 000 **(1)** Award 1 mark for correct total variable costs €111 500 **(1)** Award 2 marks if total variable costs per month are correctly calculated as €111 500, even if no calculations are shown Award 1 mark for 111 500 with or without calculations shown Do not award marks for a formula	**(2)**

Type MS · Reading a production possibility curve and economic growth

Answer 10 of 14 · Question 1 part a · 1 mark

2023 JUN · Paper 01 · extract 3 of 5 · find part a in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market for apples following an increase in the advertising of apples. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question number	Explain **one** advantage of using division of labour for the firm. **Answer**	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying an advantage Award 1 mark for developing the response Award 1 mark for the response being in context • Production is more efficient **(1)** because workers at the factory will not need to change tools repeatedly to do a different task **(1)** meaning the quantity of tennis balls produced could increase **(1)** • Workers specialising in one task become better at that task **(1)** making them more productive **(1)** and helping to lower the average costs of producing each tennis ball **(1)** Accept any other appropriate response	**(3)**

Type MS · Reading a production possibility curve and economic growth

Answer 10 of 14 · Question 1 part a · 1 mark

2023 JUN · Paper 01 · extract 4 of 5 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how all four factors of production might be used to produce drinking water in the Canary Islands. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The four factors of production are land, labour, capital and enterprise • Sea water is a natural resource, which is land • The salt is removed by filtering the water through machines in order to make the water drinkable, which is capital • The process of ensuring all the salt and impurities have been removed from the water is done by labour (production workers) • Enterprise combines the other factors of production to make sure the water gets to the consumer as a consumable product • Thus, all four factors of production may be used to produce drinking water as, without any one of them the process would not be completed as efficiently

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Reading a production possibility curve and economic growth

Answer 10 of 14 · Question 1 part a · 1 mark

2023 JUN · Paper 01 · extract 5 of 5 · find part a in this mark scheme extract

Question number	Which **one** of the following would occur when there are unsold goods in a market? **Answer**	**Mark**

Type MS · Reading a production possibility curve and economic growth

Answer 11 of 14 · Question 2 part b · 1 mark

2023 NOV · Paper 01 · extract 1 of 6 · find part b in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **C** 250 units A is not correct because labour productivity is measured in units B is not correct because this would be a multiplication instead of a division calculation and the wrong units are used D is not correct because this would be a multiplication instead of a division calculation	**(1)**

Question number	Which **one** of the following is a possible cause of positive economic growth? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **D** Increasing technological advancements A is not correct because this would reduce demand for goods and services, therefore reducing economic growth B is not correct because this would be more likely to reduce economic growth C is not correct because increasing unemployment would lead to fewer resources being utilised	**(1)**

Question number	What is meant by the term opportunity cost? **Answer**	**Mark**
2(c)	**AO1 2 marks** Award up to 2 marks for a correct definition The cost of the next best alternative **(1)** given up (when making a choice) **(1)** Accept any other appropriate response	**(2)**

Type MS · Reading a production possibility curve and economic growth

Answer 11 of 14 · Question 2 part b · 1 mark

2023 NOV · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Question number	Calculate the **total fixed costs** for the firm in March. You are advised to show your working. **Answer**	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation 20 250 + 5 125 **(1)** Award 1 mark for calculating correct total fixed costs = 25 375 Tk **(1)** Award 2 marks if total fixed costs are correctly calculated as 25 375 Tk, even if no calculations are shown Award 1 mark if total fixed costs are calculated as 25 375, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Describe **one** reason why an entrepreneur is a factor of production. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason • An entrepreneur comes up with a business idea/takes a risk **(1)** therefore it is classed as enterprise **(1)** • An entrepreneur manages the other factors of production **(1)** in order to make goods/services **(1)** Accept any other appropriate response	**(2)**

Type MS · Reading a production possibility curve and economic growth

Answer 11 of 14 · Question 2 part b · 1 mark

2023 NOV · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

Question number	Explain **one** advantage for firms of an increase in the retirement age. **Answer**	**Mark**
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the advantage being in context • Firms will be able to retain their skilled workers **(1)** because workers will not be able to access their pension until the age of at least 57 **(1)** reducing the cost of recruitment and training **(1)** • Supply of labour may increase **(1)** because people may need to continue working for another two years **(1)** thus reducing the price of labour/wage rate for firms Accept any other appropriate response	**(3)**

Type MS · Reading a production possibility curve and economic growth

Answer 11 of 14 · Question 2 part b · 1 mark

2023 NOV · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the likely effectiveness of the tourist tax in dealing with negative externalities, such as overcrowding. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Negative externalities are spillover effects on third parties due to consumption/production • Overcrowding in Venice may cause pollution, litter and congestion issues for residents and other visitors • One method of government intervention to reduce negative externalities is the use of taxation • A tourist tax is a compulsory financial charge made by the government on individuals • A tourist tax would make it more expensive to visit Venice • Therefore, it is likely to reduce the number of tourists in Venice from the estimated 24 million who visit each year • The higher the tourist tax, the fewer tourists there are likely to be, meaning at its highest charge of €10, the reduction should be greatest • As a result, the negative externality, such as overcrowding, may be reduced **AO4** • However, as Venice is so popular, some tourists may decide it is worth paying the tourist tax • This may especially be the case at the lower rates of tourist tax, where a tourist may not consider €3 unaffordable compared to the price of their trip • It takes time to collect the tourist tax, meaning there may be more congestion when people arrive in Venice • Even a reduction in numbers may not be enough to deal with the externalities caused by the high number of visitors each year • Those visitors who are prepared to pay the tourist tax will be generating revenue for the city which may be used to help combat the externalities in other ways • Other methods of government intervention may be more effective

Type MS · Reading a production possibility curve and economic growth

Answer 11 of 14 · Question 2 part b · 1 mark

2023 NOV · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Reading a production possibility curve and economic growth

Answer 11 of 14 · Question 2 part b · 1 mark

2023 NOV · Paper 01 · extract 6 of 6 · find part b in this mark scheme extract

Question number	Which **one** of the following is a reason why a firm may decide to stay small? **Answer**	Mark

Type MS · Reading a production possibility curve and economic growth

Answer 12 of 14 · Question 1 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** Production which is obtainable A is not correct because this cannot be determined on a PPC B is not correct because a PPC cannot show how production can be increased C is not correct because a PPC does not show revenue	**(1)**

Question number	Which **one** of the following describes why the firm might do this? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **B** Producers may complete charitable work A is not correct because producers would not make a profit C is not correct because it is not linked to consumer actions D is not correct because consumer behaviour is not described	**(1)**

Question number	What is meant by the term economies of scale? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Average costs of production fall **(1)** as the firm increases in size **(1)** Accept any other appropriate response	**(2)**

Type MS · Reading a production possibility curve and economic growth

Answer 12 of 14 · Question 1 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

Question number	State **one** example of an item that can be classified as capital. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct example • Machines • Computers • Factories • Vehicles Accept any other appropriate response	**(1)**

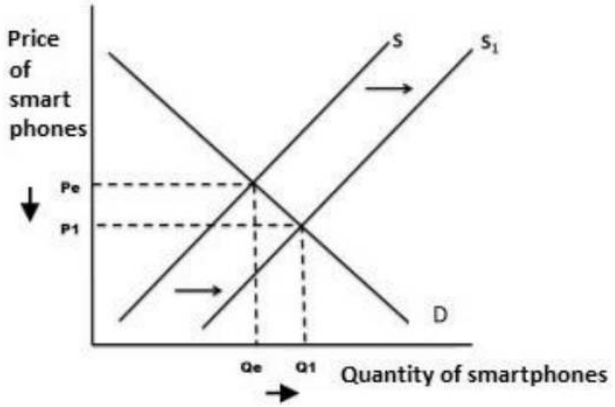
Question number	Define the term price-maker. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A firm is able to set the price charged in the whole market Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the **price elasticity of demand (PED)** for a good if the price decreases by 4.7% and the quantity demanded increases by 1.8%. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 1.8%/-4.7% **(1)** Award 1 mark for correct PED = -0.38 **(1)** Award 2 marks if PED is correctly calculated as -0.38 even if no calculations are shown Award 1 mark if PED is calculated as -0.38% with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · Reading a production possibility curve and economic growth

Answer 12 of 14 · Question 1 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Question number	Using the diagram below, draw the likely effect on the market for smartphones following an increase in productivity. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of the supply curve, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled 	**(3)**

Question number	Explain **one** possible effect of this change in the pension age on the supply of labour. **Answer**	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant effect Award 1 mark for developing the effect Award 1 mark for the response being in context • One effect would be an increase in the supply of labour **(1)** because fewer people would be able to afford to retire until they reached the retirement age **(1)** meaning more people up to the age of 64 would be available for work **(1)** Accept any other appropriate response	**(3)**

Type MS · Reading a production possibility curve and economic growth

Answer 12 of 14 · Question 1 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse the impact of an increase in price on the quantity supplied of avocados. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The diagram shows that the PES of avocados is inelastic • This means that the quantity of avocados supplied is not very responsive to an increase in price • The PES of avocados is inelastic because farmers cannot easily increase the production level even with an increase in price • Avocados take time to grow and are primary/agricultural products. The supply is dependent on factors such as weather/climate. It cannot therefore be easily increased, even if there is an increase in the price consumers are willing and able to pay • It is also not possible to store avocados for a long period because they are perishable and therefore stock cannot be used to increase the quantity of supply, this also makes the PES of avocados inelastic

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Reading a production possibility curve and economic growth

Answer 12 of 14 · Question 1 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

Question number	Which **one** of the following products has a price elastic demand? **Answer**	**Mark**

Type MS · Reading a production possibility curve and economic growth

Answer 13 of 14 · Question 2 part a · 1 mark

2025 JUN · Paper 01 · extract 1 of 6 · find part a in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **C** Y A is not correct because production is possible using all resources B is not correct because some resources are unemployed D is not correct because all resources will be fully employed	**(1)**

Question number	Which **one** of the following is a factor that may affect the supply of labour? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **A** Age distribution of population B is not correct because the supply of labour is not affected by economies of scale C is not correct because this may affect the demand for labour D is not correct because these will not cause changes in the supply of labour	**(1)**

Type MS · Reading a production possibility curve and economic growth

Answer 13 of 14 · Question 2 part a · 1 mark

2025 JUN · Paper 01 · extract 2 of 6 · find part a in this mark scheme extract

Question number	Calculate, to two decimal places the **price elasticity of supply (PES)** for the firm. You are advised to show your working. **Answer**	Mark
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation 5.4%/7.8% **(1)** Award 1 mark for calculating the correct PES = 0.69 **(1)** Award 2 marks if PES is correctly calculated as 0.69, even if no calculations are shown Award 1 mark if the answer given is 0.69%, with or without calculations shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term innovation? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition The commercial exploitation **(1)** of a new invention **(1)** **OR** Innovation is the process of improving/creating new products/ services/production methods **(1)** to increase efficiency/in the production process **(1)** Accept any other appropriate response	**(2)**

Question number	Describe **one** reason why a car mechanic is a factor of production. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason	

Type MS · Reading a production possibility curve and economic growth

Answer 13 of 14 · Question 2 part a · 1 mark

2025 JUN · Paper 01 · extract 3 of 6 · find part a in this mark scheme extract

	A car mechanic provides the service of repairing vehicles/machinery for use in production **(1)** therefore a car mechanic is labour **(1)** Accept any other appropriate response	**(2)**

Question number	Explain **one** possible disadvantage of this privatisation for other broadcasters in Argentina. **Answer**	**Mark**
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the disadvantage Award 1 mark for the response being in context • The newly privatised Radio Nacional will be under pressure to make a profit **(1)** meaning there would be more incentive to meet the needs of listeners of Radio Nacional. **(1)** This would increase competition for other broadcasters **(1)** Accept any other appropriate response	**(3)**

Type MS · Reading a production possibility curve and economic growth

Answer 13 of 14 · Question 2 part a · 1 mark

2025 JUN · Paper 01 · extract 4 of 6 · find part a in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the effectiveness of trade unions in increasing pay and improving working conditions for their members. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Trade unions can help raise wages and improve working conditions for workers by putting pressure on employers during negotiations • Mine workers have already been helped by the GMWU, in obtaining an increase in the monthly minimum wage to $500 • A higher rate of pay may lead to increased productivity from more motivated workers, making employers more likely to accede to the union's demands • The union has been supporting workers for 80 years and has over 16,000 members, meaning it could have a lot of influence on employers • This longevity and the ongoing pressure of GMWU on employers to improve health and safety, shows the union has been reasonably effective so far **AO4** • However, the need for further talks to protect mine workers' jobs shows GMWU membership may only be partially effective • Workers may not think it worth paying a membership fee to a trade union if it is unable to guarantee secure jobs • When wage rates increase, employers may not be able to afford to employ the same quantity of workers, thus meaning mine workers' jobs are at risk • Improving health and safety is likely to incur higher costs for mining firms • This means that the effectiveness of trade unions may depend on whether firms can pass on these increased costs through increased prices, such as when demand for products from mines is falling • The alternative may be reduced profit margins for the mining firms, meaning they would be less likely to agree to pay increases

Type MS · Reading a production possibility curve and economic growth

Answer 13 of 14 · Question 2 part a · 1 mark

2025 JUN · Paper 01 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Reading a production possibility curve and economic growth

Answer 13 of 14 · Question 2 part a · 1 mark

2025 JUN · Paper 01 · extract 6 of 6 · find part a in this mark scheme extract

Question number	A free rider can be defined as an individual who does which **one** of the following? **Answer**	Mark

Type MS · Reading a production possibility curve and economic growth

Answer 14 of 14 · Question 2 part b · 1 mark

2025 NOV · Paper 01 · extract 1 of 6 · find part b in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **C** Most efficient A is not correct because this would be to the right of 'X' B is not correct because external economies of scale are not specifically shown on this diagram D is not correct because the diagram does not show profit	**(1)**

Question number	Which **one** of the following is the most likely cause of economic growth? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **B** An improvement in efficiency A is not correct because this may hinder economic growth C is not correct because this would reduce economic growth D is not correct because this would not lead to economic growth	**(1)**

Type MS · Reading a production possibility curve and economic growth

Answer 14 of 14 · Question 2 part b · 1 mark

2025 NOV · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Question number	Calculate, the **total revenue** for the shop in August. You are advised to show your working. **Answer**	Mark
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation (227 + 133 + 179 + 301) x $3.50 **(1)** **OR** 840 x $3.50 **(1)** Award 1 mark for calculating the correct total revenue = $2 940 **(1)** Award 2 marks if the total revenue is correctly calculated as $2 940, even if no calculations are shown Award 1 mark if the answer given is 2 940, with or without calculations shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term bureaucracy? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A system of administration **(1)** that uses a large number of departments/officials **(1)** Accept any other appropriate response	**(2)**

Type MS · Reading a production possibility curve and economic growth

Answer 14 of 14 · Question 2 part b · 1 mark

2025 NOV · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

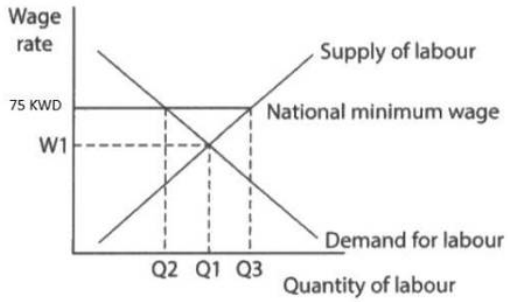
Question number	Describe **one** government policy to encourage positive externalities. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the policy and 1 mark for development of the policy Subsidies **(1)** to encourage the production/consumption of goods (that have external benefits) **(1)** Accept any other appropriate response	**(2)**

Question number	Explain **one** way an improvement in drainage may affect the productivity of Indian farmers. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context Drainage would reduce flooded areas of land **(1)** meaning farmers could grow more crops on the newly available land **(1)** increasing the output/leading to higher productivity **(1)** Accept any other appropriate response	**(3)**

Type MS · Reading a production possibility curve and economic growth

Answer 14 of 14 · Question 2 part b · 1 mark

2025 NOV · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the likely effect of having a minimum wage on the demand for labour in Kuwait. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Having a minimum wage means a higher income is received by people who may have struggled with basic needs than if the national minimum wage was not in place • A minimum wage may affect the demand for labour because firms may need to pay their workers more in exchange for the work carried out • Therefore, it could increase the costs of the firms and consequently, may reduce profit • Possible use of a diagram:  • As the wage rate increased from W1 to the minimum wage (75 KWD) it means that fewer workers may be employed by the firms, so the quantity of labour demanded may decrease from Q1 to Q2 **AO4** • However, some firms may already have been paying its workers above 75 KWD per month • Therefore, the legislation would not cause a change in the costs of those firms and consequently it may not affect their profits • This may mean that the demand for labour is unchanged • Despite this, the introduction of a minimum wage may put pressure on firms to maintain a higher wage rate to retain workers, meaning demand for labour may still decrease • It may depend on the number of firms paying at or above the minimum wage before its introduction

Type MS · Reading a production possibility curve and economic growth

Answer 14 of 14 · Question 2 part b · 1 mark

2025 NOV · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Reading a production possibility curve and economic growth

Answer 14 of 14 · Question 2 part b · 1 mark

2025 NOV · Paper 01 · extract 6 of 6 · find part b in this mark scheme extract

Question number	Which **one** of the following may be a reason why a firm stays small? **Answer**	Mark